

TRAINING SEMINAR ON THE APPLICATION OF THE
INNOVATIONS OF THE UNIFORM ACT ON SIMPLIFIED
RECOVERY PROCEDURE AND MEASURES OF
EXECUTION-BAMENDA FRIDAY 26TH JULY 2024
ORGANISED BY NGOULLA FOTSO & ASSOCIES

MODULE I
THE LEGAL REGIME OF OHADA UNIFORM ACTS IN
MEMBER STATES/DRAWING A DICHOTOMY WITH
COMMON LAW IN CMEROON

BY

DR FORFEKE PERCY NDASEH

MAGISTRATE

PART TIME LECTURER CATHOLIC UNIVERSITY OF CENTRAL AFRICA-UCAC (RECENTLY RECRUITED)

TELL: (+237 677475761)

WHATSAPP: (+237 675615920)

EMAIL: FORFEKEPERCY@GMAIL.COM

ABOUT THE RAPPOREUR

DR. FORFEKE PERCY NDASEH (MAGISTRATE)

- **Deputy State Counsel, High Court of Kupe Muanenguba**
- **-Ph,D in Law, University of Buea,**
- **-LLM in Business Law, University of Yaounde II**
- **-MA in International Relations/International Disputes,**
- **International Relations Institute of Cameroon-IRIC,**
- **-MA in International Human Rights, int Humanitarian**
 - **and Int Criminal Law, University of Dschang**
 - **and Universitee d'Evry de Val D'Essone-France,**
 - **-LLM (Conversion) in Public Law, University of Bamenda,**
- **Higher Diploma in Magistracy, National School**
 - **of Administration and Magistracy-ENAM,**
- **-Certificat d'Aptitude au Profession d'Avocat I (BAR I 2014-2017)**
- **-Executive Certificate on International Law in the Cyber Era, University of Reading UK**
- **-Open Dream's Delegate, United Nations Ad Hoc Committee to**
- **Draft an International Convention on Countering**
 - **the use of ICTs for Criminal Purposes**
- **- Uncertified Ad Hoc Legal translator, Public Exams**
 - **Part time Lecturer UCAC**

GENERAL INTRODUCTION TO OHADA

- OHADA stands for Organization for the harmonisation of Business Law in Africa
- OHADA's Mission: To harmonize business Law in Africa in order to guarantee legal and judicial security for investors and companies in its Member states.
- The Organization for the Harmonization of Business Law in Africa (OHADA) was established by the Treaty on the Harmonization of Business Law in Africa (OHADA) signed on October 17, 1993 in Port – Louis (Mauritius Ireland) and revised in Quebec (Canada) on October 17, 2008
- Indeed, it is undeniable that legal balkanization and judicial insecurity were the key impediments to the economic development of the continent. Harmonizing economic laws and improving the functioning of judicial systems in Member States were therefore necessary to restore investor confidence, facilitate trade between countries and develop a vibrant private sector
- Economic globalization requires the harmonization of laws and legal practices. Regarding developing countries like ours, this is a priority in order to create a favorable climate for legal and judicial security, a condition sine qua non to attract an inflow of foreign investment.
- In OHADA countries, it was common to find situations where a legal problem was dealt with by several obsolete and contradictory texts. This situation gave rise to legal and judicial uncertainty.

INSTITUTIONS OF OHADA

- Conference of Heads of States and Government
- Council of Ministers
- Permanent Secretariat
- Higher Regional school of Magistracy-ERSUMA
- Common court of Justice and Arbitration CCJA

THE UNIFORM ACTS

- The OHADA Legislator legislates by way of Uniform Acts
- On 17 October 1993, the Treaty on the Harmonisation of Business Law in Africa was signed in Port Louis. The purpose of this treaty was to harmonise the business law of African states by drawing up and adopting simple, modern common rules adapted to the situation of their economies.
- To adopt these rules, acts known as uniform acts had to be adopted.

ADOPTION OF UNIFORM ACTS

- ❑ **Uniform Acts are adopted at the end of a procedure described in Articles 6 and 7 of the Treaty. In addition to the formal conditions laid down in these articles, the adoption of uniform acts is subject to substantive conditions.**
- ❑ **Uniform Acts are adopted within the Organisation for the Harmonisation of Business Law in Africa (OHADA), which comprises the Conference of Heads of State and Government, the Council of Ministers, the Common Court of Justice and Arbitration (CCJA) and the Permanent Secretariat.**
- ❑ **With the exception of the Conference of Heads of State and Government, all OHADA institutions are involved in the procedure for adopting uniform acts.**

ADOPTION OF UNIFORM ACTS

- ❑ **Uniform Acts** are prepared by the **Permanent Secretariat** in consultation with the governments of the **Contracting States**. They are discussed and adopted by the **Council of Ministers** after receiving the opinion of the **CCJA**.
- ❑ The scope of the uniform **Acts** is provided for in article 2 of the 2008 **OHADA Treaty** which stipulates: **Art.2.-** For the purpose of the Treaty, business law shall include all regulations relating to company law, the definition and classification of traders, recovery procedures measures of enforcement, liquidation and administration proceedings and arbitration, labour law, accounting law, carriage and sales of goods, and any such other matters that the **Council of Ministers** shall unanimously decide, to include in accordance with the object of the Treaty and the provisions of **Article 8** below

REVISION OF THE UNIFORM ACTS AND THEIR APPLICATION

- ❖ The Treaty provides for a revision procedure for uniform acts. Uniform Acts may therefore be revised. Revision of uniform acts must be authorised by the Council of Ministers.
- ❖ Consequently, the revision procedure begins with an application for authorisation from a Contracting State or from the Permanent Secretariat.
- ❖ Once authorisation for revision has been obtained, the Permanent Secretariat draws up the draft Uniform Act revising a Uniform Act.
- ❖ Uniform Acts are acts adopted for the adoption of rules common to all States Parties to the Treaty on the Harmonisation of Business Law in Africa. They are applicable in these States.
- ❖ **Art.9.- (Treaty of 17 October 2008)** The Uniform Acts shall be published in the OHADA Official Gazette within sixty days of adoption. They shall be enforceable ninety days after such publication, subject to contrary provisions in a particular uniform act. Uniform Acts shall also be published in States Parties, in the official gazette or by any other appropriate means. This formality shall not affect the coming into force of the Uniform Acts.

UNIFORM ACTS ADOPTED SO FAR

- - **Simplified recovery procedure and measures of Execution (1998 revised in 2023).**
- - **Collective proceedings for the wiping up of debts (1999).**
- - **Arbitration (1999).**
- - **Accountancy and financial reporting (2001-2002).**
- - **Contracts for the carriage of goods by road (2004).**
- - **Cooperative societies (2011).**
- - **General commercial law (1998, revised in 2011).**
- - **Securities (1998, revised in 2011).**
- - **Company law (1998, revised in 2014).**
- - **Mediation**

IMPORTANCE OF ARTICLE 10 OF THE OHADA TREATY

- **Art.10.- Uniform Acts** shall be directly applicable to and binding on the States Parties notwithstanding any previous or subsequent conflicting provisions of the national law.
- **Article 10** of the Treaty governs the relationship between the **Uniform Acts** and the domestic law of the **Contracting States**.
- According to this article, uniform acts are directly applicable and binding in the **Contracting States**, notwithstanding any prior or subsequent provision of domestic law to the contrary.
- In 1993, **Article 10**, along with **Article 9** of the Treaty, was one of the articles whose wording made interpretation difficult.
- In 2001, at the request of the Republic of Côte d'Ivoire, the **CCJA** issued **Opinion No. 001/2001/EP** of 30 April 2001 in which it gave its opinion on the meaning of the provisions of **Article 10**.
- In 2008, when the Treaty was revised, only **Article 9** was amended. As the **CCJA's** view was not binding, the question of the meaning of **Article 10** remained.
- **OHADA TREATY AND THE UNIFORM ACTS** are *infra* Constitutional but *Supra* Legislation in the hierarchy of legal norms in Cameroon, article 45 of the Cameroon Constitution,

THE PRINCIPLE OF SUPRANATIONALITY IN OHADA LAW

- SUPRANATIONALITY OF THE OHADA TREATY AND THE UNIFORM ACTS
 - Article 45 of the Cameroon Constitution
 - Article 10 of the OHADA Treaty
- SUPRANATIONALITY OF THE COMMON COURT OF JUSTICE AND ARBITRATION CCJA
 - Article 14 para 3 of the OHADA Treaty
 - When sitting as a court of final appeal, the Court shall rule on decisions delivered by the Courts of Appeal of States Parties on all matters relating to the Uniform Acts and rules provided for in this Treaty with the exception of decisions administering criminal sanctions. ,,,

THE CCJA AND APPLICATION OF THE UNIFORM ACTS

❖ The CCJA has 3 principal missions:

- ✓ Arbitration mission (art. 21 of the revised Treaty)
- ✓ Consultative mission (art. 14 para 2)
- ✓ Adjudication mission (art. 14 para 3 & 4)

CCJA'S MOST IMPORTANT MISSION

- ❖ **The Adjudication mission is the most important and is in fact its main activity**
- ❖ **the development of OHADA LAW through case law**
- ❖ **Are her decisions res judicata?**
- ❖ **What of the decisions of our Supreme Court in civil, commercial and Administrative matters? (only decisions of the full panel of the joint Benches of the Supreme court create binding precedents (case law) in Cameroon,**

THE CCJA AND DISPUTES EMANATING FROM THE UNIFORM ACT ON SIMPLIFIED RECOVERY PROCEDURE AND MEASURES OF EXECUTION

❑ I- CONSULTATIVE OPINIONS

- ❑ The first Opinion is Opinion n°001/99/JN delivered on 07 July 1999, The Tribunal Judiciaire de Première Instance de Libreville (Libreville Court of First Instance) requested the Court for an opinion on the regime of nullity under OHADA law. The Court responded by stating that the UASRPME expressly provides that failure to comply with certain prescribed formalities is punishable by nullity. However, for some of these formalities, which are listed exhaustively, nullity can only be declared if the irregularity has had the effect of causing prejudice to the interests of the person invoking it. Apart from the cases listed exhaustively, the court must declare the document null and void when it is invoked if it finds that the formality prescribed on pain of nullity has not been observed, without there being any need to seek proof of any prejudice.

THE CCJA AND DISPUTES EMANATING FROM THE UNIFORM ACT ON SIMPLIFIED RECOVERY PROCEDURE AND MEASURES OF EXECUTION

- **The Uniform Act of 17 October 2023, taking up the content of the above-mentioned opinion, has devoted a provision of the preliminary chapter, in this case article 1-16, to the regime of nullities.**

COMPUTATION OF TIME AND PRESCRIPTIONS IN THE UNIFORM ACTS

- The Rule « *dies a quo dies ad quem* »
- Since procedural time limits under OHADA law are clear-cut time limits, their starting date (*dies a quo*) and ending date (*dies ad quem*) are not counted whether they are expressed in days or months.
- On the other hand, a time limit expressed in days, as is the case in article 15 of the UASRPME, requires the number of days indicated to be counted without regard to the dates. This calculation must therefore comply with the rules applicable to clear periods.
- In other words, the first and last days must be excluded. Where the last day falls on a Saturday, Sunday or public holiday, the period will be extended to the next working day. *This distinction is illustrated by the CCJA's decision in CCJA I e ch. n°066, 14-3-2019 Banque Maroco centrafricaine c/ la sté centrafricaine des télécommunications, in which the CCJA ruled that, contrary to the appellant's assertions, the time limit for appealing against a judgment on an opposition to a injunction to pay is not expressed in months and is not calculated on the basis of anniversary dates.*

COMPUTATION OF TIME AND PRESCRIPTIONS IN THE UNIFORM ACTS

- **PRESCRIPTIONS**

- The barring of commercial proceedings for want of commencement on time,
- The prescription period for commercial transactions: obligations under OHADA Law is **5 years** unless there is a shorter period provided in the UA for special obligations, **see article 16 (New) or 18 (old) of the Uniform Act on General Commercial Law**

THE 2023 UNIFORM ACT ON SIMPLIFIED RECOVERY PROCEDURE

- **SOME MAJOR INNOVATIONS**
- - Introduction of a preliminary chapter devoted to common provisions, which includes definitions, provisions regarding the form of acts, their notification, deadlines, etc. Among other things, it includes:
- - Harmonization of the form of bailiff acts.
- - Admission of electronic notification under the conditions set by the Uniform Act.
- - The principle “no nullity without a law” is established for formal defects, except in cases of substantial or public Policy formalities. When nullity is admitted, the applicant must still provide evidence of prejudice suffered as a result of the nullity.

THE 2023 UNIFORM ACT ON SIMPLIFIED RECOVERY PROCEDURE

- Introduction of electronic acts for the preservation and recovery of debts. Subject to meeting certain conditions, electronic acts has equal value to that of paper based acts.
- Article 1-5; The acts drawn up for the purpose of securing or recovering debts may be drawn up either on paper (paper-based acts) or electronically (electronic acts).
- - Introduction of provisions regarding the conservatory seizure of movable assets - including sums of money - held in a safe deposit box belonging to a third party.
- - Extension of the seizure of shareholder rights and securities to other negotiable debt instruments. The law does not define or enumerate the other negotiable debt instruments.
- - Extension of the seizure of debts to debts representing a claim in digital or electronic currency.

THE 2023 UNIFORM ACT ON SIMPLIFIED RECOVERY PROCEDURE

- Introduction of provisions specific to the seizure of business assets.
- Introduction of provisions specific to the conservatory seizure and sale of livestock.
- - The extension of the seizure of shareholder rights and securities to other negotiable debt instruments.*
- The new act clears the doubt that existed between service of court process and Notification

THE COMMON LAW AND OHADA

- Common law is a body of unwritten laws based on legal precedents established by the courts. Common law influences the decision-making process in unusual cases where the outcome cannot be determined based on existing statutes or written rules of law.
- Inherited through our colonial history
- Upheld in Cameroon by section 10, 11 and 15 of the Southern Cameroons High Court Law 1955
- Section 10; Application of rules of procedure applicable before her Majesty's High Court in England
- Section 11: Common law, Doctrine of Equity and Statute of General Application applicable in England on 1st January 1900
- Article 68 of the Cameroon Constitution gives room for the continues application of the Cameroon Law in Cameroon

THE COMMON LAW AND OHADA

- RECONCILING COMMON LAW AND OHADA
- OHADA is an international norm with a supranational standard
- The Non Juxtaposition of common law rules and OHADA rules for both are diametrically opposed
- Common Law is a general norm, and OHADA as a special norm thus bringing in the Concept of *LEX SPECIALIS DEROGAT LEGE GENERALI* or *LEX GENERALIBUS NON DEROGAT SPECIALIS*
- *OHADA being a special norm in Commercial matters prevails*
- *Article 10 of the OHADA Treaty of 2008 is instructive*

COMMON LAW AND OHADA

- The need for common law jurists to align with article 42 of the 2008 OHADA Treaty,
- Cameroon is one of the original signatories of the OHADA Treaty in 1993. A year later, the Cameroonian parliament, by Law No 94/4 of 4 August 1994, authorized the president of the Republic to ratify the Treaty. Two years later, by decree No 96/177 of 5 September 1996, the president ratified the Treaty, thus incorporating it into Cameroonian law. This has given rise to the question whether the effect of article 42 of the Treaty renders application of the Treaty in Cameroon unconstitutional as being inconsistent with article 1(3) of the Cameroonian Constitution, which states that English and French are the official languages of the country and that both languages have the same status.
- The 1993 Treaty contemplated just French as the official language of OHADA
- The 2008 Treaty brought in a revision to add English, Spanish and Portuguese to French as the list of official languages of OHADA
- But it further stipulates that in case of conflicts the french version shall prevail,

COMMON LAW AND OHADA

- The way forward is for the English practitioner to always reflect on the intentions of the OHADA Legislator,
- **NEED TO ADOPT THE EXEGETICAL METHOD OF LEGAL INTERPRETATION COMMON TO MOST OHADA MEMBER STATES**
- This method involves interpreting the text by asking what the legislator intended. This method of interpretation is based on an attachment to the text.
- The CCJA surprising is so attached to this method in all her decisions,

MAKING THE DIFFERENCE

- THE COMMON LAW PRACTITIONER SHOULD EMBRACE OHADA BY MASTERING THE UNIFORM ACTS
- THE WORLD OF LITIGATION IS EVOLVING AND COMMERCIAL LITIGATION IS TAKING THE LEAD

THE END

- **THANK YOU FOR YOUR KEEN ATTENTION**

FORFEKE PERCY NDASEH, Ph.D

Magistrate

- **Part time lecturer Catholic University of Central Africa-UCAC (Recently recruited)**
 - **Tell: (+237 677475761)**
 - **Whatsapp: (+237 675615920)**
 - **Email: forfekepercy@gmail.com**